Question #1 - 4 of 45

Question ID: 1675002

How many of the statements made by Jang during the job interview are correct?

A) None.

B) One.

C) Two.

Explanation

Only one of the statements is correct.

Statement 1 is incorrect because it is easier to identify Type I errors than Type II errors. To identify a Type I error, one would simply compare the returns of the hired or retained managers to a benchmark. To identify Type II errors, one would need to compare the returns of all rejected candidates (as well as the returns of all the managers who were not retained) against relevant benchmarks.

Statement 2 is incorrect because the difference (dispersion) between the returns of strong and weak managers will be greater in less efficient markets. Therefore, the cost of making a Type I error (hiring or retaining a weak manager) will be smaller when markets are efficient.

Statement 3 is correct. Type I errors are active decisions that are errors of commission, so they create more regret avoidance than Type II errors. The costs of a Type I error are more obvious and explicit than those of Type II errors (Type II errors involve implicit or opportunity costs).

(Module 14.1, LOS 14.b)

Question #2 - 4 of 45

Question ID: 1675003

How should Mompou evaluate drawdowns and capture ratios in hiring an investment manager for the institutional investor, taking into account both positive and negative returns of the relevant benchmark?

A) Mompou should hire managers with a history of large drawdowns and drawdown durations.

B) Mompou should hire managers with a history of large upside and downside capture ratios.

C) Mompou should hire managers with a history of large drawdowns and drawdown durations, as well as large upside and downside capture ratios.

Explanation

Given the client's desire to maximize returns plus its long time horizon and high risk tolerance with more time to recover from losses, the client could benefit from riskier investments with larger drawdowns and drawdown durations that may increase returns.

Upside capture (UC) ratios look at capture when the benchmark has a positive return. Based on the benchmark return, a UC ratio that is higher than 100% is indicative of outperformance, so a *larger* UC ratio is preferred. Conversely, downside capture (DC) ratios look at capture when the benchmark has a negative return. Based on the benchmark return, a DC ratio that is lower than 100% is indicative of outperformance, so a *smaller* DC ratio is preferred.

(Module 14.2, LOS 14.d)

Question #3 - 4 of 45

Question ID: 1675004

How many of the statements made by Quan during the discussion are correct?

A) One. ✓

B) Three. ✗

C) Two. ✗

Explanation

Only one of the statements is correct.

Statement 4 is correct. One of the benefits for investors of performance-based fee structures (over standard fixed fees) is that when performance is lower, the fees are also lower. However, the base fees are still paid even when the manager underperforms.

Statement 5 is incorrect. Fully symmetric fees, in which the manager is fully exposed to the downside, tend to yield closer alignment in risk and effort than performance-based fees. Therefore, although they are preferred by investors, they are clearly not preferred by managers because of their impact on bankruptcy risk.

Statement 6 is incorrect. An investment manager with limited upside exposure in the form of a maximum fee and limited downside exposure in the form of a minimum (base) fee is long a call option on active return with a strike price equal to the minimum (base) fee and short a call option with a strike price equal to the maximum fee.

(Module 14.4, LOS 14.i)

Question #4 - 4 of 45

Question ID: 1675005

Based on Table 1, what is the required breakeven active return and the resulting maximum annual billed fee when there is symmetry within the active return range centered around the breakeven active return?

	Breakeven active return	Maximum annual billed fee	
A)	1.80%	0.60%	✗
B)	1.80%	0.90%	✓
C)	1.50%	0.60%	✗

Explanation

The breakeven active return is calculated using the following equation: [(breakeven active return − base fee) × sharing] + base fee = standard fee. Using the numbers in Table 1, the calculation is [(breakeven active return − 0.30) × 0.20] + 0.30 = 0.60. The breakeven active return solves as 1.80(1.80%).

Because the annual billed fee is calculated on the active return in excess of the base fee percentage of 0.30%, for there to be symmetry centered around the breakeven active return of 1.80%, the lower bound must be an active return of 0.30% or less (a 1.50% deviation to the left). Therefore, the upper bound must be an active return of 3.30% or more (a 1.50% deviation to the right). At a 3.30% active return, the maximum annual billed fee is 0.90%, calculated as 0.30% + [0.20 × (3.30% − 0.30%)].

A full summary of calculations is as follows:

	Active Return		
	≤0.30%	**1.80%**	**≥3.30%**
Base fee (0.30%)	0.30%	0.30%	0.30%
Sharing [20% × (active − base)]	0.00%	0.30%	0.60%
Billed fee (base + sharing)	0.30%	0.60%	0.90%
Net active return	0.00%	1.20%	2.40%

(Module 14.4, LOS 14.j)

Question #5 of 45

Question ID: 1674962

When discussing Type I and Type II errors, an analyst notes that errors of omission and opportunity costs can be associated with these errors. These considerations *best* describe:

	Errors of omission	Opportunity costs

A)	Type I error	Type I error	✗
B)	Type II error	Type II error	✓
C)	Type II error	Type I error	✗

Explanation

Type II errors are errors of omission (meaning inaction) like not hiring a manager who outperforms or performs in line with expectations. Type II errors, therefore, create opportunity costs.

(Module 14.1, LOS 14.b)

Question #6 of 45

Question ID: 1674961

An example of a Type I error is:

A) not firing a manager who outperforms expectations. ✗

B) retaining a manager who underperforms expectations. ✓

C) firing a portfolio manager who outperforms expectations. ✗

Explanation

A Type I error consists of rejecting a correct null hypothesis, therefore hiring or retaining a manager who underperforms.

(Module 14.1, LOS 14.b)

Question #7 of 45

Question ID: 1674994

A performance-based fee structure where the manager's fee consists of a base fee and sharing positive portfolio performance is analogous to a manager having a long call option:

A) on the portfolio's return with a strike price equal to the base fee. ✓

B) and a long put option on the portfolio's return both with a strike price equal to the base fee. ✗

C) on the portfolio's return with a strike price equal to the base fee, and a short call option on the portfolio's return with a strike price equal to the maximum fee. ✗

Explanation

The performance-based fee described here is a bonus structure with full upside and limited downside exposure. This is analogous to a manager having a long position in a call option on the portfolio active return, with a strike price equal the base fee. The payoff to the manager is theoretically unlimited.

(Module 14.4, LOS 14.i)

Question #8 of 45

Question ID: 1674976

The ABC Fund uses equity-based strategies but has a very high turnover. When considering the use of either a returns-based style analysis (RBSA) or a holdings-based style analysis (HBSA), the *most appropriate* style analysis for each of the factors is:

	Equity-based strategies	High turnover	
A)	RBSA	HBSA	✗
B)	HBSA	RBSA	✓
C)	HBSA	HBSA	✗

Explanation

HBSA is most appropriate for equity-based strategies because it looks at the individual securities included in the portfolio. Because HBSA uses a point-in-time analysis rather than returns over time, it is less useful for portfolios with high turnovers.

(Module 14.2, LOS 14.c)

Question #9 of 45

Question ID: 1674982

Last month, a fund manager's upside and downside captures were both 80%. This implies that the manager underperformed the benchmark:

A) only when the benchmark return was negative. ✗

B) regardless of market movement. ✗

C) only when the benchmark return was positive. ✓

Explanation

Upside capture of 80% indicates that the manager captured 80% of the benchmark's positive return and, therefore, underperformed on the upside. Downside capture of 80% means that the manager captured 80% of the benchmark's negative return and, therefore, outperformed on the downside. The manager only underperformed the benchmark when the benchmark return was positive.

(Module 14.2, LOS 14.d)

Question #10 of 45

Question ID: 1674975

Considering the investment manager selection process, holdings-based style analysis (HBSA) is *most appropriate* to use when evaluating:

A) portfolios with high turnover. ✗

B) illiquid securities. ✗

C) equity portfolios. ✓

Explanation

HBSA individually examines the actual securities held in a portfolio. HBSA is generally most suited to analyzing equity strategies. This is because the timeliness of the analysis depends on how long it takes to price securities, which can prove a challenge for illiquid or nontraded securities.

(Module 14.2, LOS 14.c)

Question #11 of 45

Question ID: 1674990

One advantage of separately managed accounts (SMAs) over pooled investments is:

A) greater tax efficiency. ✓

B) lower trading costs. ✗

C) less transparency in demonstrating value added. ✗

Explanation

SMAs, in general, have higher transaction costs relative to pooled investments, but they provide more transparency and potential for greater tax efficiency.

(Module 14.3, LOS 14.g)

Question #12 of 45

Question ID: 1674963

Which of the following would be regarded as the *least appropriate* method to measure the performance of a hedge fund?

A) The Sharpe ratio. ✗

B) Separate long/short benchmarks. ✗

C) Relative performance comparisons with traditional benchmarks. ✓

Explanation

Construct a separate long and short benchmark, which can then be combined together in their relevant proportions. The Sharpe ratio compares the return to risk free rather than a benchmark. Relative performance using traditional benchmarks is the least appropriate, given a hedge fund's concentration on absolute returns and the lack of reliable traditional benchmarks.

(Module 14.1, LOS 14.b)

Question #13 of 45

Question ID: 1674965

Jack Jensen is the president of Jensen Management. Jensen prides himself on the care of his employees. He states that in 30 years of portfolio management, he has only had to fire two employees. Tom Mercer is president of Analytical Investors. His policy has been to replace poorly performing managers, where poor performance equals underperforming their benchmark for two successive quarters. Which of the following *best* describes these managers' continuation decisions?

A) Jensen is not likely to be committing any error, and Mercer is likely committing Type II error. ✗

B) Jensen is likely committing Type I error, and Mercer is likely committing Type II error. ✓

C) Jensen is likely committing Type II error, and Mercer is likely committing Type I error. ✗

Explanation

Type I error is retaining (or hiring) a poorly performing manager. Jensen is likely committing Type I error because he rarely fires anyone. Type II error is firing (or not hiring) a superior manager. Mercer is likely committing Type II error because he fires managers after only two quarters of underperformance. Two quarters is not enough time to properly evaluate a manager.

(Module 14.1, LOS 14.b)

Question #14 of 45

Question ID: 1674980

An analyst observes that a portfolio's capture ratio (CR) is 0.65. This would *most likely* indicate:

A) negative return asymmetry. ✓

B) a convex return profile. ✗

C) positive return asymmetry. ✗

Explanation

Because CR = upside capture ratio (UC) / downside capture ratio (DC), a CR that is less than 1 indicates greater downside return or negative return asymmetry. Negative return asymmetry has a concave return profile.

(Module 14.2, LOS 14.d)

Question #15 of 45

Question ID: 1674960

When considering a manager's philosophy, we are *most likely* to be concerned with that manager's:

A) strategy feasibility in current market conditions. ✗

B) likelihood of strategy execution, given the manager's expertise. ✗

C) targeted market inefficiency for earning excess returns. ✓

Explanation

Assessing the likelihood that an investment manager's returns will continue into the future involves examining the four Ps—one of which is the manager's philosophy. Philosophy refers to how a manager will attempt to exploit inefficiencies in financial markets to generate excess returns.

(Module 14.1, LOS 14.a)

Question #16 of 45

Question ID: 1674968

A mutual fund CEO is reviewing the performance of her fund managers. The CEO assumes that markets are mean reverting. Which of the following statements about Type I or Type II errors is *least accurate* under mean-reverting markets?

A) Firing a strongly performing manager too soon is an example of a Type I error. ✓

B) Firing a weakly performing manager too soon is an example of a Type II error. ✗

C) Hiring or retaining a manager who subsequently underperforms is an example of a Type I error. ✗

Explanation

In mean-reverting markets, short-term manager performance may not be indicative of long-term performance. Firing a strongly performing manager before performance would subsequently deteriorate assuming mean reversion, and the manager was correctly identified as not adding value (no skill)—therefore, this is neither a Type I nor Type II error and the statement is least accurate.

Hiring or retaining a manager who subsequently underperforms when the market goes down is an example of a Type I error because she appeared to be adding value when markets were trending upward, even though she was actually an underperformer. The null hypothesis associated with a Type I error is that the manager does not add value. Therefore, the statement is accurate.

Firing a weakly performing manager too soon is an example of a Type II error because she is actually a strong performer but appears to be a weak performer when markets trended down. A Type II error is not hiring or firing a strong performer. Therefore, the statement is accurate.

(Module 14.1, LOS 14.b)

Question #17 of 45

Question ID: 1674966

John Peterson is trying to decide whether to retain his investment manager. His null hypothesis is that his current manager is not skillful. Peterson would be correct in stating that in relation to Type I errors, Type II errors are *most likely* to:

A) lead to explicit costs. ✗

B) be apparent to investors. ✗

C) be errors of omission. ✓

Explanation

Type II errors are errors of omission (inaction), while Type I errors are errors of commission (active decision is incorrect). A Type II error would be firing a manager who subsequently outperforms—meaning not rejecting the null hypothesis of no skill when it is incorrect. Type I error would be retaining a manager who subsequently underperforms expectations (rejecting the null hypothesis of no skill when it is correct). Type I errors lead to explicit costs, whereas Type II errors create opportunity costs. Type I errors are more apparent to investors, because this is the kind of decision that investment managers will need to explain.

(Module 14.1, LOS 14.b)

Question #18 of 45

Question ID: 1675000

The fee schedule of an investment fund includes a base fee plus sharing both positive and negative fund performance. The sharing is based on returns net of the base fee. The investment fund has a(n):

A) fee structure similar to a long call option on the fund's return with a strike price equal to the base fee. ✗

B) asymmetrical fee structure because of the base fee. ✗

C) symmetrical fee structure. ✓

Explanation

The investment fund has a symmetrical fee structure in which the manager's fees are affected by both positive and negative fund performance.

(Module 14.4, LOS 14.j)

Question #19 of 45

Question ID: 1674977

Due to a recent shift in asset allocation, the Grandvale Fund has a significant exposure to less liquid real estate and private equity investments. Because the portfolio contains illiquid securities, relative to the holdings-based style analysis (HBSA), the returns-based style analysis (RBSA) is:

A) neither more nor less accurate. ✓

B) more accurate. ✗

C) less accurate. ✗

Explanation

The RBSA is not a precise tool, and illiquid securities could create stale prices that lead to underestimating risk exposures. As a result, the RBSA is not more (or less) accurate than HBSA for a portfolio that holds illiquid securities. (Module 14.2, LOS 14.c)

Question #20 of 45

Question ID: 1674978

In discussing style analysis, a portfolio manager makes the following two statements:

Statement 1:	"A holdings-based style analysis allows me to estimate a portfolio's sensitivities to security market indices."
Statement 2:	"I prefer the holdings-based style analysis because of its lower computational requirements and less complexity."

The manager is correct with respect to:

A) Statement 2 only. ✗

B) Statement 1 only. ✗

C) neither Statement 1 nor 2. ✓

Explanation

In Statement 1, the manager describes the returns-based style analysis, which is a top-down approach and is used to estimate a portfolio's sensitivities to security market indices. A holdings-based style analysis is a bottom-up approach, which estimates risk exposures from the actual securities held in the portfolio at a point in time. The disadvantage of the holdings-based style analysis is that it has higher computational requirements and greater complexity.

(Module 14.2, LOS 14.c)

Question #21 of 45

Question ID: 1674967

The wider the dispersion of returns between a weak and a strong fund manager, the *less likely* there will be:

A) both Type I and Type II errors. ✓

B) Type I error only. ✗

C) Type II error only. ✗

Explanation

The wider the dispersion of returns between a weak and a strong fund manager, the easier to distinguish their relative skills. This will minimize both Type I and Type II errors.

(Module 14.1, LOS 14.b)

Question #22 of 45

Question ID: 1674983

The three-year historical performance indicators of a fixed-income portfolio produce an upside capture of 1.15 and a downside capture of 0.85. The capture ratios indicate that the portfolio:

A) has negative asymmetry.

B) has a concave return profile.

C) will outperform the benchmark in any market condition.

Explanation

The portfolio has a capture ratio of 1.15 / 0.85 = 1.35. A capture ratio greater than 1 indicates positive asymmetry of returns (convex return profile). An upside capture greater than 1 indicates that the portfolio will outperform positive benchmark returns. A downside capture less than 1 indicates that the portfolio will lose less than the benchmark and, therefore, outperform negative benchmark returns. Therefore, the portfolio will outperform the benchmark under any market condition.

(Module 14.2, LOS 14.d)

Question #23 of 45

Question ID: 1674981

John Addams manages three large-cap equity funds. Fund A has a capture ratio (CR) of 1.6, Fund B's is 1.0, and Fund C's is 0.8. Which fund has a concave return profile?

A) Fund B.

B) Fund A.

C) Fund C.

Explanation

A CR that is less than 1 implies that the downside capture is greater than the upside capture. That means there is a negatively asymmetrical (concave) return profile in that there is more downside capture than upside capture.

(Module 14.2, LOS 14.d)

Question #24 of 45

Question ID: 1674974

Considering the investment manager selection process, style analysis is *most appropriate* when examining a manager who invests in:

A) publicly traded stocks. ✓

B) complex derivatives. ✗

C) alternative investments such as private equity. ✗

Explanation

Style analysis is best suited to evaluating managers who invest in publicly traded investments (whose prices are frequently quoted) because style analysis depends on information that is gathered on a timely basis.

(Module 14.2, LOS 14.c)

Question #25 of 45

Question ID: 1674959

Which of the following approaches is *most appropriate* to use in the process of developing a manager universe?

A) Capture ratio analysis. ✗

B) Performance assessment. ✗

C) Holdings-based style analysis. ✓

Explanation

Holdings-based style analysis is often used to determine a benchmark to which managers can be assigned. This benchmark represents the manager's role within the portfolio, which helps to define the universe of feasible managers. Performance assessment, along with capture ratio calculations and analysis, should occur during the quantitative analysis phase, not at the *defining the manager universe* phase.

(Module 14.1, LOS 14.a)

Question #26 of 45

Question ID: 1674988

Relative to pooled investments, a disadvantage of separately managed accounts (SMAs) is that SMAs:

A) have less ability for customization to client-specific objectives. ✗

B) have higher transaction costs. ✓

C) lower tax efficiency. ✗

Explanation

Because SMAs are separately managed, they typically incur higher transaction costs than pooled accounts. However, their advantages include an ability to tailor to client-specific objectives and constraints, and higher tax efficiency than pooled funds because SMAs are not subject to payments for accrued taxes on unrealized gains.

(Module 14.3, LOS 14.g)

Question #27 of 45

Question ID: 1674993

An investor wants to select a performance-based fee structure that provides the greatest alignment between the investor's and manager's incentives. The fee structure that *best* meets this requirement is a:

A) bonus with full upside but limited downside exposure. ✗

B) bonus with limited upside and downside exposures. ✗

C) symmetrical structure with full upside and downside exposures. ✓

Explanation

Performance-based fee structures include the (1) symmetrical structure with full upside and downside exposures, (2) bonus with full upside and limited downside exposures, and (3) bonus with limited upside and downside exposures. The symmetrical structure includes a base fee plus performance sharing and provides the greatest alignment between the investor's and manager's incentives; however, it increases the risk to the manager due to the full downside exposure.

(Module 14.4, LOS 14.i)

Question #28 of 45

Question ID: 1674987

A securities analyst makes the following two statements about pooled and separately managed accounts (SMAs):

Statement 1:	Although SMAs allow investors better customization than pooled accounts, SMAs lack transparency and position-level details.
Statement 2:	Because SMAs are managed by dedicated managers, they are less subject to micromanagement risk by investors.

How many of the manager's statements are correct?

A) None.

B) Two.

C) One.

Explanation

None of the manager's statements are correct. It is true that SMAs allow investors better customization than pooled accounts, given that they consider specific investor investment objectives. SMAs are also fully transparent and provide position-level details. However, investors may try to manage SMAs, which makes them subject to micromanagement risk by investors.

(Module 14.3, LOS 14.g)

Question #29 of 45

Question ID: 1674964

Suppose that a portfolio management firm has decided that the costs of firing managers are excessive. Which of the following would be their *most appropriate* course of action? The firm should:

A) tolerate more Type II error to reduce Type I error.

B) tolerate more Type I error to reduce Type II error.

C) reduce both Type I and Type II errors.

Explanation

Type I error is retaining a poor manager, and Type II error is firing a superior manager. If a firm wishes to reduce the costs of firing managers, then they should reduce staff turnover. So, they should err on the side of retaining poor managers (Type I error) to reduce the chance of firing superior managers (Type II error). They might do this by relaxing the performance criteria that managers must meet.

(Module 14.1, LOS 14.b)

Question #30 - 33 of 45

Question ID: 1674996

Calculate the total billed fee for Portfolio X, assuming the client has elected the performance-based fees.

A) 0.60%. ✗

B) 0.85%. ✓

C) 0.90%. ✗

Explanation

Base fee = 0.30%

Performance fee = 20% on active return in excess of the base fee

Active return = portfolio return (12.5%) – benchmark return (9.2%) = 3.3%

Active return above the base fee: 3.3% – 0.30% = 3%

Performance fee = 0.20 × 3% = 0.60%

Total fee = base fee + incentive fee, so 0.30% + 0.60% = 0.90%

The maximum total fee is 0.85%.

(Module 14.4, LOS 14.i)

Question #31 - 33 of 45

Question ID: 1674997

Calculate the level of active return that results in breakeven between the standard and the performance-based fee structures.

A) 1.80%. ✓

B) 1.60%. ✗

C) 1.70%. ✗

Explanation

The breakeven active return results in the PCM standard fees equaling the performance-based fees (i.e., 0.60%).

0.30 = [(breakeven active return – 0.30) × 0.20]

(0.30 / 0.20) + 0.30 = breakeven active return

Breakeven active return = 1.80%

To test if this is correct:

Performance fee = (1.80 – 0.30) × 0.20 = 0.30%

Base fee = 0.30

Total fee = 0.30 + 0.30% = 0.60%

Standard fee = 0.60%; performance fee = 0.60

In conclusion, a **1.80% active return** is the **breakeven** between the two fee structures.

(Module 14.4, LOS 14.i)

Question #32 - 33 of 45

Question ID: 1674998

If the fee structure was replicated using options, which of the following is *closest* to the payoff diagram created?

A) Long call on the standard fee. ✗

B) Long call on the base fee. ✗

C) Bull call spread. ✓

Explanation

In this performance-based fee structure, there is a minimum fee of 0.30% and a maximum fee of 0.85%. The overall payoff is replicated by a bull spread using calls.

The bull spread is created using a low strike, long call (at the base fee of 0.30%) and a higher strike short call (at the maximum fee of 0.85%).

The performance-based fee increases based upon increases in the active returns of the portfolio. So, the calls are on the active returns of the portfolio.

The lower strike long call and the higher strike short call creates a bull spread. A bull spread profits from a limited rise in active return above the base fee of 0.30%, up to the maximum fee of 0.85%.

(Module 14.4, LOS 14.i)

Question #33 - 33 of 45

Question ID: 1674999

Which of the following return combinations results in a total fee of 0.74% using the performance-based fee method?

A) Benchmark return of –5.6%; fund return of –2.90%. ✗

B) Benchmark return of 6.40%; fund return of 8.90%. ✓

C) Benchmark return of 8.80%; fund return of 10.80%. ✗

Explanation

Fund return of 8.90% – benchmark return of 6.40% = active return of 2.5%:

- Base fee = 0.30%
- Performance fee = (2.5 – 0.3) × 0.20 = 0.44%
- Total fee = 0.30% + 0.44% = **0.74%**.

(Module 14.4, LOS 14.i)

Question #34 of 45

Question ID: 1674986

Behavioral inefficiencies are *most likely* to be:

A) temporary. ✓

B) most common when regulations are changing. ✗

C) long lived in nature. ✗

Explanation

Behavioral inefficiencies, which are mispricings due to investors adhering to behavioral biases, tend to be temporary in duration: after some time, the market price and perceived intrinsic value will converge. In general, these inefficiencies exist independent of regulatory regime changes.

(Module 14.3, LOS 14.e)

Question #35 - 38 of 45

Question ID: 1674970

Wong asks Wu to explain the impact of her recommendation in Observation 1 on Type I and Type II errors.

A) Type I errors will decrease, and Type II errors will increase. ✓

B) Type I errors will increase, and Type II errors will decrease. ✗

C) Type I errors and Type II errors will decrease. ✗

Explanation

Null hypothesis: manager has no skill

Alternative: manager has skill

Type I error: reject the null in error (hired a poor performer)

Type II error: failed to reject the null in error (failed to hire a good performer)

It is useful to know that Type I and Type II errors work in opposite directions, in that reducing one of these errors will increase the other.

Increasing the confidence level (i.e., reducing the significance level) of the test will increase the accuracy of selection decisions and reduce Type I errors. However, this will increase the probability of a Type II error (i.e., failing to hire a good performer).

(Module 14.1, LOS 14.b)

Question #36 - 38 of 45

Question ID: 1674971

In relation to Observation 2, which of the following would assist in identifying this issue?

A) Type I errors. ✗

B) Type II errors. ✓

C) Neither Type I nor Type II errors. ✗

Explanation

Null hypothesis: manager has no skill

Alternative: manager has skill

Type I error: reject the null in error (hired a poor performer)

Type II error: failed to reject the null in error (failed to hire a good performer)

Type II errors relate to missed opportunities, as the manager selection process failed to identify a good manager. However, obtaining the performance data to confirm the skill of the manager who wasn't hired can be difficult to obtain.

(Module 14.1, LOS 14.b)

Question #37 - 38 of 45

Question ID: 1674972

In relation to Observation 3 and behavioral theory, which of the following is *most accurate*?

A) Type II errors are psychologically more painful than Type I errors. ✗

B) Type I errors are psychologically more painful than Type II errors. ✓

C) Both errors are equally psychologically painful. ✗

Explanation

Type I errors (e.g., hiring a poor performer) are errors of commission, where an active decision taken turns out to be incorrect. This is more psychologically painful than a Type II error (e.g., failing to hire a good performer), which is an error of omission. Therefore, Type I errors are more psychologically painful than Type II errors.

(Module 14.1, LOS 14.b)

Question #38 - 38 of 45

Question ID: 1674973

Which of the following is *most accurate* of Observations 4 and 5?

A) Neither observation is accurate. ✗

B) Only Observation 4 is accurate. ✓

C) Only Observation 5 is accurate. ✗

Explanation

More efficient markets are likely to result in smaller differences in the distributions of skilled and unskilled managers. The traditional long-only funds are likely to be more efficient than the other two alternative markets—and, therefore, have lower costs of Type I and II errors.

Type I errors (hiring a poor performer) create **explicit costs**, and Type II errors (failing to hire a good performer) creates **opportunity costs** (i.e., missing out on a good performer).

(Module 14.1, LOS 14.b)

Question #39 of 45

Question ID: 1674979

An investment manager uses capture ratios to determine how suitable a fund is to an investor's risk tolerance and time horizon. The manager notes that the investment strategy is low beta, which would *most likely* indicate that the strategy will have a:

A) higher up capture and a higher down capture. ✗

B) lower up capture and a lower down capture. ✓

C) lower up capture and a higher down capture. ✗

Explanation

A low-beta (high-beta) strategy will have lower (higher) up capture and down capture.

(Module 14.2, LOS 14.d)

Question #40 of 45

Question ID: 1674985

The fund manager of Betafund's equity portfolio uses hard stop-loss orders to protect against adverse price changes. The primary disadvantage of this hedging strategy is that:

A) it involves subjective evaluation. ✗

B) positions may be closed too frequently. ✓

C) it does not protect against large losses. ✗

Explanation

Stop-loss orders help protect against large losses on the portfolio. Using hard stop-losses, positions are automatically sold when a certain price is reached. As opposed to soft stop-losses, hard stop-losses do not involve subjective evaluation. The risk is that positions may be closed too frequently.

(Module 14.3, LOS 14.e)

Question #41 of 45

Question ID: 1674984

In equity markets where return volatility for individual securities is increasing relative to the volatility of the market portfolio, value-driven strategies are *most likely* to have:

A) lower upside capture than momentum strategies do. ✓

B) higher upside capture than momentum strategies do. ✗

C) similar upside and downside capture to that of momentum strategies. ✗

Explanation

In markets where betas are increasing, value-driven strategies will have lower upside capture (i.e., they will perform worse) than momentum-driven strategies.

(Module 14.2, LOS 14.d)

Question #42 of 45

Question ID: 1674992

The payoff to investment managers using a performance-based fee schedule with upside limits is similar to the payoff diagram of a:

A) bear call spread. ✗

B) short collar. ✗

C) bull call spread. ✓

Explanation

A performance-based fee schedule with limited upside replicates the payoff profile of a bull call spread: the upside is capped, while minimum returns are earned regardless of market performance.

(Module 14.4, LOS 14.i)

Question #43 of 45

Question ID: 1674989

Which of the following statements regarding differences in separately managed accounts (SMAs) and pooled investments is accurate?

A) A customized SMA can help minimize tracking error relative to a benchmark. ✗

B) The incremental cost of adding additional investors is relatively low for pooled investments. ✓

C) Pooled investments have higher transaction costs compared to SMAs but can benefit from customization. ✗

Explanation

The incremental cost of adding additional investors for pooled investments is relatively low compared to SMAs, which require a separate account for each additional investor. A customized SMA could differ significantly from the benchmark, which creates higher tracking error. Pooled investments typically have lower transaction costs compared to SMAs because costs can be spread among multiple investors.

(Module 14.3, LOS 14.g)

Question #44 of 45

Question ID: 1674958

Assigning a manager to a benchmark using objective risk exposures that are derived from the manager's actual return series is *best* captured under the:

A) holdings-based style analysis.

B) returns-based style analysis.

C) manager experience.

Explanation

A returns-based style analysis is a top-down approach that is used to estimate a portfolio's sensitivities to security market indices. It uses objective risk exposures that are derived from the manager's actual return series.

(Module 14.1, LOS 14.a)

Question #45 of 45

Question ID: 1674991

An investment in limited partnerships is *most appropriate* for an investor with a:

A) high liquidity need.

B) long time horizon.

C) desire to benefit from tactical asset allocation.

Explanation

Limited partnership investments generally have a long time horizon and benefit from not having to be concerned about short-term market fluctuations. They often have capital lockup periods that limit liquidity, and due to the long-term nature of investments, have limited ability to benefit from tactical shifts in asset allocation.

(Module 14.4, LOS 14.h)